

Business Setup Checklist (Pennsylvania)

A plain-English list of what to set up to run Your Backup Plan legally and cleanly. Costs are approximate. **This is general guidance, not legal or tax advice.** A one-time meeting with a local CPA or tax preparer (~\$150–300) to confirm the setup is money well spent.

1. Business structure: pick one

Option	Cost	Good for
Sole proprietor + fictitious name	\$70 filing + ~\$100–250 to publish the notice in two newspapers	Cheapest, fastest way to start. Taxes flow through her personal return
Single-member LLC named "Your Backup Plan LLC"	\$125 filing + \$7 annual report	Separates business and personal liability. Looks more established to businesses and schools. Same pass-through taxes

Recommendation: start as an **LLC**. It costs about the same as a sole proprietorship with a fictitious name (because the fictitious name also has to be published in newspapers), protects her personal assets if something goes wrong at a client's site, and makes vendor setup with schools and companies smoother.

- ☐ Check name availability: Pennsylvania Business Search (file.dos.pa.gov)
- ☐ File a Certificate of Organization online with the PA Department of State (file.dos.pa.gov), \$125
- ☐ File the PA annual report each year (\$7)
- ☐ (If staying a sole proprietor instead: register the fictitious name "Your Backup Plan", \$70, and publish the notice as required.)

2. Tax IDs

- ☐ **EIN** (free, 10 minutes) at irs.gov. **Only use irs.gov.** Sites that charge for this are unnecessary. Use the EIN on W-9s instead of her Social Security number
- ☐ **PA business tax registration** (free) on myPATH (mypath.pa.gov). Ask whether her services need a sales tax license. **Note:** Pennsylvania taxes "help supply services" (temporary staffing where the worker is on the supplier's payroll but supervised by the client). A single owner doing her own work, directing how she does it, is usually treated differently. **Confirm with the PA Department of Revenue or a CPA before the first invoice.**
- ☐ **Local taxes:** register with her municipality's earned income tax collector (in the South Hills and Washington County this is usually **Jordan Tax Service** or **Keystone Collections Group**). Ask whether her town has a business privilege / mercantile tax or requires a business license

3. Money

- ☐ Separate **business checking account** (many local banks and credit unions have free small-business accounts). Every business dollar in and out goes through it
- ☐ A **tax savings account**: move **25–30%** of every payment there immediately
- ☐ **Quarterly estimated taxes** (federal via IRS Direct Pay, PA via myPATH): due **April 15, June 15, September 15, January 15**
- ☐ Track expenses (mileage log, phone, supplies, insurance, marketing, business share of internet). The free **Stride** or **Everlance** apps log mileage automatically
- ☐ Every business client paying her **\$2,000+** in a year (2026 threshold) will ask for a **W-9** and send her a 1099-NEC. Keep her own records regardless

Tax quick reference (2026, approximate):

- Self-employment tax: **15.3%** on ~92% of net profit (Social Security + Medicare, both halves)
- Federal income tax: depends on household bracket. A **20% qualified business income deduction** usually applies
- PA personal income tax: **3.07%**
- Local earned income tax: **~1–2%** depending on municipality
- **Retirement**: a SEP-IRA or Solo 401(k) lets her save for retirement *and* cut taxes. Worth asking the CPA about in year one

4. Insurance

- ☐ **General liability insurance** (~\$300–600/yr for a one-person admin/office service). Many businesses and every school will ask for a certificate of insurance. Get quotes from Next, Hiscox, The Hartford, or a local independent agent
- ☐ Consider **professional liability (E&O)** if handling records or bookkeeping-type data
- ☐ Consider a **fidelity / janitorial-type bond** (~\$100–200/yr) if doing personal-assistant work in clients' homes. It reassures families
- ☐ Tell her **auto insurer** she drives for business (errands, supply runs). Personal policies may not cover business use

5. Clearances (for schools, youth organizations, churches)

Pennsylvania requires these for anyone with direct contact with children. **Renew every 5 years.** If she has current ones from the high school, check the dates and keep copies:

- ☐ **PA State Police criminal history** (Act 34), online, about \$22
- ☐ **PA Child Abuse History** (Act 151), online, about \$13
- ☐ **FBI fingerprint** (Act 114), through IdentoGO, about \$25
- ☐ Mandated reporter training (Act 126 for schools), free online

- ☐ Schools may also require the **Act 168** employment history form and a TB test. Ask each district's business office

6. Paperwork to have ready

- ☐ **W-9** filled out with the EIN (PDF on hand to email)
- ☐ **Certificate of insurance** (PDF)
- ☐ **Clearances** (PDF)
- ☐ **Service agreement** (the Service Agreement)
- ☐ **Invoice template** with the business name and contact info, invoice number, dates and hours worked, payment terms and accepted payment methods

7. Stay an independent business (not an employee)

To keep things clean for both her and her clients:

- Invoice as Your Backup Plan. Don't go on a client's payroll
- Serve multiple clients and market to the public (the website and Facebook page help show this)
- Set her own rates, use her own phone and laptop where possible, and control *how* the work gets done
- Use a simple written agreement for every client (even one page)

8. Online presence

- ☐ Buy a domain, about \$12–20/yr. Suggestions to check: **yourbackupplanpgh.com**, **yourbackupplanpa.com**, **yourbackupplan.co** (*check availability at Cloudflare, Porkbun or Namecheap*)
- ☐ Publish the website (see the website setup steps)
- ☐ Optional: a professional email like **ashley@yourbackupplanpgh.com** through Google Workspace (~\$7/mo) or free email forwarding through the domain registrar

Estimated startup budget

Item	Low	Typical
LLC filing	\$125	\$125
Insurance (first year)	\$300	\$500
Clearances (if needed)	\$0	\$60
Business cards + flyers	\$30	\$75
Domain	\$12	\$20
Website hosting	\$0	\$0
Chamber of commerce membership (optional)	\$0	\$250
CPA consult (optional)	\$0	\$200
Total	~\$470	~\$1,230